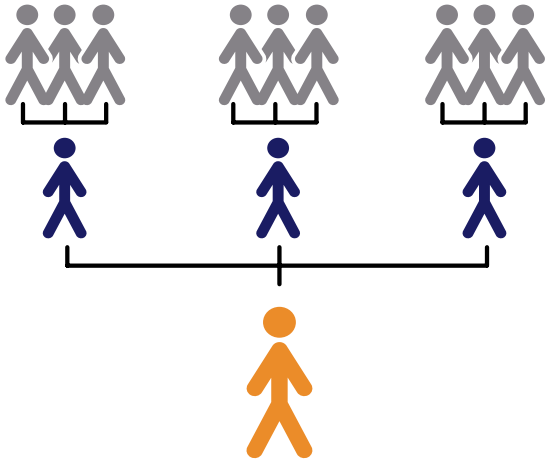
and other financial institutions holding significant weight over the economy.

A centralized system can be thought of as a tree with a single trunk. The trunk represents the central authority or point of control, and the branches represent the various parts of the system that are controlled by the central authority. In this analogy, the tree is vulnerable if the trunk is damaged or diseased, because the entire tree relies on the trunk for support.

There are many **drawbacks to centralized systems** including:



- **Vulnerability**: A centralized system relies on a single point, so if that point fails, the whole system can fail.
- **Control and power**: Those in control of centralized systems have a lot of power and influence over how they work.
- **Inefficiency and intermediaries**: Centralized systems often use intermediaries, which can make them slow and add extra costs.
- **Lack of autonomy**: People may not be able to make their own financial decisions.
- **Censorship and restriction**: There is a risk of being blocked or restricted from accessing certain financial resources in centralized systems.
- **Scaling challenges**: Centralized systems may struggle to keep up with increasing demand for financial services and resources.
- **Security risks**: Centralized systems can have weaknesses that hackers can use to gain access or cause damage.
- **Lack of transparency and trust**: It can be hard to understand how centralized systems work and to make informed decisions about them because they may *not be transparent or trustworthy*.